On 1st April, 2018, Rajan introduced an additional capital of ₹ 40,000 and on 1st September, 2018, Devan introduced ₹ 30,000. Drawings of Rajan and Devan during the year were ₹ 20,000 and ₹ 10,000 respectively. Profit earned during the year was ₹ 70,000.

(Answer: Interest on capital: Rajan: ₹ 5,400; Devan: ₹ 3,600)

10. Ahamad and Basheer contribute ₹ 60,000 and ₹ 40,000 respectively as capital. Their respective share of profit is 2:1 and the profit before interest on capital for the year is ₹ 5,000. Compute the amount of interest on capital in each of the following situations:

(i) if the partnership deed is silent as to the interest on capital

(ii) if interest on capital @ 4% is allowed as per the partnership deed

(iii) if the partnership deed allows interest on capital @ 6% per annum.

(Answer: (i) No interest on capital is allowed
(ii) Since there is sufficient profit, interest on capital will be provided.
Ahamad: ₹ 2,400; Basheer: ₹ 1,600;
(iii) Since the profit is insufficient, interest on capital will not be provided.
Profit of ₹ 5,000 will be distributed to the partners in their capital ratio of 3:2.)

11. Mani is a partner, who withdrew ₹ 30,000 on 1st September, 2018. Interest on drawings is charged at 6% per annum. Calculate interest on drawings on 31st December, 2018 and show the journal entries by assuming that fluctuating capital method is followed.

(Answer: Interest on drawings of Mani: ₹ 600)

12. Santhosh is a partner in a partnership firm. As per the partnership deed, interest on drawings is charged at 6% per annum. During the year ended 31st December, 2018 he withdrew as follows:

Date	₹
February 1	2,000
May 1	10,000
July 1	4,000
October 1	6,000

Calculate the amount of interest on drawings.

(Answer: Interest on drawings of Santhosh: ₹ 720)

13. Kumar is a partner in a partnership firm. As per the partnership deed, interest on drawings is charged at 6% per annum. During the year ended 31st December, 2018 he withdrew as follows:

Date	₹
March 1	4,000
June 1	4,000
September 1	4,000
December 1	4,000

Calculate the amount of interest on drawings.

(Answer: Interest on drawings of Kumar: ₹ 440)

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